# IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

## CP(CAA)/19(CHE)/2021

## In

## CA/266/CAA/2020

*Under Sections 230 to 232 of the Companies Act, 2013*

In the matter of *Scheme of Amalgamation*

Between

**M/s. SRI KUMARAN WIND ENERGY PRIVATE LIMITED**
CIN:- U40108TN2005PTC057056
No.3, T.K.P. NAGAR,
CHENNAI – 600 019 *...1st Transferor Company*

And

**M/s. J.R.S. CONTAINER TERMINAL PRIVATE LIMITED**
CIN:- U63010TN2008PTC067054
No.3, MANALI EXPRESS ROAD, T.K.P. NAGAR,
CHENNAI – 600 019
*...2nd Transferor Company*

And

**M/s. JANAKI RAM STEEL AND POWER PRIVATE LIMITED**
CIN:- U27101TN2004PTC052868
No.117, SADAYAN KUPPAM, VILLAGE ROAD,
MANALI, CHENNAI – 600 103

*...Transferee Company*

And

**THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS**

*Order Pronounced on 16th March 2022*

CORAM

**Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)**
**ANIL KUMAR B, MEMBER (TECHNICAL)**

*For Applicant(s): H.P. Nitesh, PCS*
*For OL : B. Palani, Authorized Representative*

## ORDER

***Per:*** **ANIL KUMAR B, MEMBER (TECHNICAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petitions have been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation, (hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. **M/s. Sri Kumaran Wind Energy Private Limited** *(hereinafter referred to as "1st Transferor Company")* and **M/s. J.R.S. Container Terminal Private Limited** *(hereinafter referred to as "2nd Transferor Company")* and **M/s. Janaki Ram Steel and Private Limited** *(hereinafter referred to as "Transferee Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed as to the typed set filed along with CA/266/CAA/2020.

3. From the records, it is seen that in the First Motion Application filed before this Tribunal vide CA/266/CAA/2020 wherein the Transferor and Transferee Companies have sought dispensation of the meeting of the Equity Shareholders, Secured

and Unsecured Creditors. Based on such application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its order dated 06.10.2020 dispensed with the meeting of the Equity Shareholders, Secured and Unsecured Creditors of the Transferor and Transferee Companies. Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies for sanction of the Scheme of Amalgamation by this Tribunal.

4. In the first motion application filed by the Petitioner Companies, this Tribunal had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, (iv) Official Liquidator and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Indian Express", English (Tamil Nadu Edition) and "Dinamani", Tamil (Tamil Nadu Edition).

5. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected the paper publication as directed by the

Tribunal in one issue of "Indian Express" (Tamil Nadu Edition) in English and "Dinamani" (Tamil Nadu Edition) in Tamil on 20.10.2020. It is also seen that notices have also been served to (i) The Regional Director, Southern Region, Chennai on 14.10.2020, (ii) Registrar of Companies Chennai on 14.10.2020, (iii) Assessing Officer, Income Tax Department on 15.10.2020, (iv) Official Liquidator on 15.10.2020 and the proof of the same by way of acknowledgements/receipts have been enclosed with the typed set filed along with the Petitions. Further, the Petitioner Companies have also given undertaking that the Scheme of Amalgamation proposed to be entered between the Transferor Companies and the Transferee Company does not fall under the required threshold limit as prescribed under Section 5 and 6 of the Competition Act, 2002. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

6. The Regional Director, (for brevity 'RD') Chennai to whom the notice was issued has filed his Report before this Tribunal and has stated that Clause 8 of Part III of the Scheme provides for protection of the interest of all the employees of the Transferor Companies. It was also stated that as per the report of Registrar of Companies, both the Transferor and Transferee Companies are regular in filing the statutory returns and there is no prosecution

filed, no complaints pending and no inspection / investigation has been ordered / pending in respect of both the companies.

7. Further at para 10, the RD has observed that Clause 11 of Part III of the Scheme has stated that the authorized capital of the Transferee Company shall stand enhanced to Rs.23 Crore divided into 2.30 Crore Equity Shares of Rs.10 each upon the scheme becoming effective and in the said circumstances sought for a direction to the Transferee Company to file the amended MoA and AoA with the RoC, Chennai for its record. Apart from the above, the Regional Director has not made any objection to the Scheme.

8. The Official Liquidator has filed his report, and has stated in para 4 that the affairs of the Transferor Companies were not conducted in a manner prejudicial to the interest of its members, or creditors or to the public, as per the provisions of the Companies Act, 1956 / Companies Act 2013, whichever is applicable.

9. The Chartered Accountant appointed by the Official Liquidator it is stated that, has verified the books of accounts of the Transferor Companies and has observed as follows;

- The Companies are maintaining books of accounts as per the requirements of the Companies Act, 2013 and have maintained and written up in accordance with normally accepted accounting principles.

- All entries have been made in the statutory registers in accordance with the requirements of the Companies Act, 2013 prescribed under the Act and no discrepancies were noted.

- The Companies does not have any outstanding statutory dues such as EPF, ESI, etc.

- The Transferor Companies do not have outstanding amount towards taxes payable under the fiscal laws.

- The Company has not accepted any deposits as contemplated under the provisions of the Companies Act, 2013

- The Company is regular in filing Income Tax returns and no case was pending against the Company and there are no tax arrears or any other statutory dues.

10. From the above observations made by the Chartered Accountants, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remunerations payable to the Auditor who has investigated into the affairs of the Transferor Company – 1 and 2. In this regard, this Tribunal hereby directs the Transferor Company – 1 and 2 to jointly pay a sum of *Rs.50,000/- (Rupees Fifty Thousand Only)* to the Official Liquidator for the payment of fees

payable towards the Auditor who has investigated into the affairs of the Transferor Company – 1 and 2.

11. Despite notice being served, there is no representation from the Department of Income Tax and in the circumstances, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

12. The Petitioner Companies have filed the certificate of the Independent Statutory Auditor in relation to compliance with the Accounting Standards with respect to the Scheme. Thus, the Petitioner Companies have complied with proviso to Section 230 (7)/ Section 232 (3) of the Companies Act, 2013.

13. The Petitioner companies have submitted that no investigation proceedings are pending against them under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings are pending against the petitioner companies under Section 235 to 251 of the Companies Act, 2013 or under relevant provision of the Companies Act, 1956.

14. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal, sanctions

the Scheme of Amalgamation, annexed along with CA/266/CAA/2020.

15. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

16. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

17. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Companies shall pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Comapnies

shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(iv) That the Appointed date for the Scheme shall be **1st April 2019** as specified in the Scheme itself in terms of Section 232 (6) of the Companies Act, 2013.

(v) That all the employees of the Transferor Companies in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Companies, as have not given such notice of dissent, as is required by Clause 12.1 of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the

Transferee Company after setting off the fees paid by the Transferor Companies.

(viii) That the Transferor Companies and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

18. Accordingly, the Company Petition stands **Allowed** on the aforementioned terms.

-Sd-
**B. ANIL KUMAR**
MEMBER (TECHNICAL)

-Sd-
**Justice (Retd.) S. RAMATHILAGAM**
MEMBER (JUDICIAL)

*Raymond*